

The ICO debate will continue, and it's prudent for the innovative investor to stay abreast of contemporary thinking around the benefits and drawbacks of ICOs.

The Howey Test for Discerning If an ICO Is a Security

The Howey Test is the result of the 1946 U.S. Supreme Court case, *SEC v Howey Co*, which investigated whether a convoluted scheme to sell and then lease tracts of land qualified as an "investment contract," also known as a security. The Howey Test determines whether something should be classified as a security, even if it is referred to differently in an offering to avoid regulatory action. If something classifies as a security, SEC oversight requires a long list of requirements to be met, which would likely dampen all but the most well-capitalized innovations in the exciting new world of cryptoasset offerings.

If an asset meets the following criteria, it will likely be considered a security:

1. It is an investment of money.²⁵
2. The investment of money is in a common enterprise.
3. There is an expectation of profits from the investment.

For the most part, the teams behind ICOs want to avoid classification as a security because it will demand hefty legal fees, delay innovation, and require restructuring of the current cryptoasset landscape. While most ICOs meet the first two